

our most spectacular giant industrial enterprise—none other than International Business Machines, which last year entered the small group of companies with \$1 billion of sales. May I introduce one or two autobiographical notes here, in order to inject a little of the personal touch into what otherwise would be an excursion into cold figures? In 1912 I had left college for a term to take charge of a research project for U.S. Express Company. We set out to find the effect on revenues of a proposed revolutionary new system of computing express rates. For this purpose we used the so-called Hollerith machines, leased out by the then Computing-Tabulating-Recording Company. They comprised card punches, card sorters, and tabulators—tools almost unknown to businessmen, then, and having their chief application in the Census Bureau. I entered Wall Street in 1914, and the next year the bonds and common stock of C.-T.-R. Company were listed on the New York Stock Exchange. Well, I had a kind of sentimental interest in that enterprise, and besides I considered myself a sort of technological expert on their products, being one of the few financial people who had seen and used them. So early in 1916 I went to the head of my firm, known as Mr. A. N., and pointed out to him that C.-T.-R. stock was selling in the middle 40s (for 105,000 shares); that it had earned \$6.50 in 1915; that its book value—including, to be sure, some nonsegregated intangibles—was \$130; that it had started a \$3 dividend; and that I thought rather highly of the company's products and prospects. Mr. A. N. looked at me pityingly. "Ben," said he, "do not mention that company to me again. I would not touch it with a ten-foot pole. [His favorite expression.] Its 6 per cent bonds are selling in the low 80s and they are no good. So how can the stock be any good? Everybody knows there is nothing behind it but water." (Glossary: In those days that was the ultimate of condemnation. It meant that the asset account of the balance sheet was fictitious. Many industrial companies—notably U.S. Steel—despite their \$100 par, represented nothing but water, concealed in a written-up plant account. Since they had "nothing" to back them but earning power and future prospects, no self-respecting investor would give them a second thought.)

I returned to my statistician's cubbyhole, a chastened young man. Mr. A. N. was not only experienced and successful, but extremely shrewd as well. So much was I impressed by his sweeping condemnation of Computing-Tabulating-Recording that I never bought a share of it in my